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RESIDENTIAL MORTGAGE NOTE AND LOAN AGREEMENT

Lakeshore Harbor Savings & Loan (fictitious lender) · NMLS #SAMPLE-0001 · 200 Harbor Point Drive, Port Ellery, MI 48799

Loan Summary

Item	Terms
Loan Number	SMP-2026-004417
Date of Note	September 15, 2026
Borrower	Daniel Robert Mercer
Co-Borrower	Alicia Marie Mercer
Property Address	1427 Fernwood Lane, Port Ellery, MI 48799
Purchase Price	$390,000.00
Principal Loan Amount	$312,000.00
Loan-to-Value	80.00%
Interest Rate	6.875% fixed per year
Loan Term	360 months (30 years)
Monthly Principal & Interest	$2,049.62
First Payment Due	November 1, 2026
Maturity Date	October 1, 2056

1. Borrower's Promise to Pay

In return for a loan in the principal amount of $312,000.00 (the "Principal") received from Lakeshore Harbor Savings & Loan (the "Lender"), Daniel Robert Mercer and Alicia Marie Mercer (together, the "Borrower") jointly and severally promise to pay the Principal, plus interest, to the order of the Lender. Payments will be made in U.S. dollars by check, money order, or electronic funds transfer from an account in the Borrower's name.

2. Interest

Interest will be charged on unpaid Principal until the full amount of Principal has been paid. The Borrower will pay interest at a fixed yearly rate of 6.875%. The interest rate will not change during the life of the loan. The interest rate required by this Section 2 is the rate the Borrower will pay both before and after any default described in Section 6.

3. Payments

(A) Time and Place of Payments. The Borrower will pay principal and interest by making a payment every month on the first (1st) day of each month, beginning on November 1, 2026. The Borrower will make these payments every month until all principal and interest and any other charges described below have been paid. If, on October 1, 2056 (the "Maturity Date"), the Borrower still owes amounts under this Note, the Borrower will pay those amounts in full on that date.

(B) Amount of Monthly Payments. The Borrower's monthly payment of principal and interest will be in the amount of U.S. $2,094.62. This amount does not include the escrow deposits described in Section 4.

(C) Application of Payments. Each payment will be applied first to interest due, then to Principal, then to escrow items, and finally to any late charges or other amounts owed.

4. Escrow for Taxes and Insurance

In addition to principal and interest, the Borrower will pay to the Lender each month an escrow deposit to cover (a) property taxes and assessments on the Property and (b) premiums for homeowner's hazard insurance. The initial escrow deposit is estimated at $612.00 per month, consisting of $395.00 for property taxes and $217.00 for hazard insurance. The Lender will review the escrow account at least once a year and will notify the Borrower in writing of any change to the monthly escrow deposit and of any surplus or shortage.

5. Borrower's Right to Prepay

The Borrower may make payments of Principal at any time before they are due. A payment of Principal only is known as a "Prepayment." The Borrower will tell the Lender in writing when making a Prepayment.

If, within the first thirty-six (36) months after the Date of Note, the Borrower prepays more than twenty percent (20%) of the original Principal in any twelve-month period, the Borrower will pay a prepayment charge equal to two percent (2%) of the amount prepaid in excess of that twenty percent. After the thirty-sixth month, the Borrower may prepay without charge.

6. Borrower's Failure to Pay as Required

(A) Late Charge for Overdue Payments. If the Lender has not received the full amount of any monthly payment by the end of fifteen (15) calendar days after the date it is due, the Borrower will pay a late charge to the Lender. The amount of the charge will be six percent (6%) of the overdue payment of principal and interest. The Borrower will pay this late charge promptly but only once on each late payment.

(B) Default. If the Borrower does not pay the full amount of each monthly payment on the date it is due, the Borrower will be in default. If the Borrower is in default, the Lender may send a written notice stating that if the overdue amount is not paid by a date at least thirty (30) days after the notice is delivered, the Lender may require immediate payment of the full Principal and all interest owed.

7. Closing Costs Paid by Borrower

The Borrower agrees to pay the following closing costs at or before closing:

Fee	Paid To	Amount
Loan origination fee (0.50%)	Lender	$1,560.00
Appraisal fee	Ridgeline Appraisal Co. (fictitious)	$650.00
Title search	Port Ellery Title (fictitious)	$525.00
Credit report	Lender	$150.00
Lender's title insurance	Port Ellery Title (fictitious)	$1,250.00
Flood certification	Lender	$95.00
Recording and transfer taxes	County Register of Deeds	$1,395.50
TOTAL CLOSING COSTS		**$5,265.50**

8. Appraisal Disclosure

The Borrower has the right to receive a copy of any appraisal or written valuation developed in connection with this loan. The Lender will provide copies promptly upon completion, and in any event no later than three (3) business days before closing, whether or not the loan closes.

9. Giving of Notices

Any notice that must be given to the Borrower under this Note will be given by delivering it or by mailing it by first-class mail to the Property Address above or to a different address if the Borrower gives the Lender written notice of that address. Any notice to the Lender will be mailed by first-class mail to 200 Harbor Point Drive, Port Ellery, MI 48799.

10. Governing Law

This Note is governed by the laws of the State of Michigan and applicable federal law.

11. Signatures

By signing below, each Borrower accepts and agrees to the terms and covenants contained in this Note and acknowledges receipt of a copy of it.

Signature	Printed Name	Date
/s/ Daniel R. Mercer	Daniel Robert Mercer, Borrower	September 15, 2026
/s/ Alicia M. Mercer	Alicia Marie Mercer, Co-Borrower	
/s/ Karen L. Ostrowski	Karen L. Ostrowski, Loan Officer Lakeshore Harbor Savings & Loan	September 15, 2026